Chapter 18

COMMODITIES

Commodities are far more difficult to forecast than the stock market, the debt market, or even gold, as they are less governed by overall social mood. There are times, however, particularly during inflations, when emotion rules and wave patterns in aggregate measures are clear. Before we examine today's charts, let's review a time when the Wave Principle had a strong message.

PERSPECTIVE

The last turn of tidal proportion in commodities occurred in 1980-1981. Among all markets propelled by inflation, including precious metals, mining stocks and interest rates, commodities were the last to peak. The Reuters Price Index had been in a bull market since 1967, while the Commodity Research Bureau Futures Price Index, which is strongly weighted toward agricultural commodities, had been in a bull market since 1968. By November 1980, the CRB index had risen 255%. It held up until the 20th of the month and then dropped sharply for two weeks. The drop was little different from ones that had occurred during the bull market, except for one important thing: It followed a completed count of five waves from the low. Here's how *The Elliott Wave Theorist* assessed that juncture on February 10, 1981:

End of An Era?
The 13-Year Rise In Commodities May Be Drawing To a Close

> From an Elliott Wave perspective, evidence is abundant that the gigantic rise in commodity prices that began in 1968 has ended. Under Elliott rules, any true bull market advance should take the form of five waves up and should be channelable between parallel lines so that waves two and four touch the lower boundary and waves three and five touch the upper boundary. Just as important, each *sub*wave in the advance must also divide into five waves having the same characteristics. In examining the long term, intermediate term and short term charts of the Commodity Research Bureau's Futures Price Index, it is my conclusion that, while an extension of the fifth wave cannot be ruled out, a perfect Elliott wave bull market has taken place.